

Wealth Strategy Snapshot

Educational Analysis

2026 Tax Year Planning

Prepared for Roderick Fanou | February 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a high-income W-2 professional in Austin, Texas, with plans to launch a real estate business. The strategies below model how entity formation, retirement account maximization, short-term rental acquisition with cost segregation (using 100% bonus depreciation under the One Big Beautiful Bill Act), and a Bitcoin-centric investment approach may work together for someone with your income level and goals. Based on your profile and the strategies modeled, this snapshot illustrates potential first-year value ranging from **\$56,456** (conservative scenario — tax optimization + investment deployment, no real estate) to **\$302,409** (aggressive scenario — including STR property acquisition with cost segregation). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Modeled 2026 First-Year Value Range

Conservative Scenario (no real estate)	\$56,456
Aggressive Scenario (with STR acquisition)	\$302,409

Current Financial Position

PROFILE ITEM	DETAIL
Name / Age	Roderick Fanou · Age 37 · Single
Location	Austin, Texas (0% state income tax)
Employment	W-2 employee; total compensation \$200–299K; base salary \$150–199K
Self-Employment	None currently — LLC formation planned for RE arbitrage + ownership
Business Entity	No entity yet; plans to create one as part of this program
Est. Marginal Tax Rate	32% federal + 0% TX = 32% combined
W-2 401(k)	Maxing out (\$24,500 for 2026; no catch-up at age 37)
Backdoor Roth IRA	Yes — contributing annually (\$7,500 for 2026)
HSA	Partially funded — not yet maximized
Liquid Capital	\$100,000–\$249,000
Comfortable Deploying	\$10,000–\$25,000 (near-term)
Emergency Fund	1–2 months of expenses (building up)
Credit Score	760+
Housing	Renting (\$1,700/month); considering purchase with STR/house hack
Monthly Expenses	Housing \$1,700 · Utilities \$500 · Insurance \$200 · Debt payments \$800
Debt	Under \$5,000 total
Bitcoin Position	Small (<1% of portfolio)

Home Office	Yes — dedicated area (not full room); available for LLC deduction
Vehicle	No vehicle currently used for business
Risk Tolerance	Moderately aggressive — growth-focused, accepts volatility
Time Available	5–10 hours/week for wealth-building activities
RE Interest	Very interested: arbitrage, ownership, house hacking, BRRRR, commercial

Stated Goals

#	GOAL
1	Reduce 2026 tax bill by \$50K+ through legal strategies
2	Create passive income of \$5K–\$10K/month to eventually replace W-2
3	Launch RE business: Arbitrage → Ownership/House Hack → BRRRR
4	Establish correct business structures (LLC, trust, corporation)
5	Build toward \$10M+ net worth within 3–5 years
6	Plan sabbatical from current W-2 position

⚠ Key Constraint: Roderick was unable to create a business entity until September 2025, which is now resolved. Work is demanding (sometimes weekends), and time management is a stated challenge. A step-by-step, proven approach is preferred. Currently uses H&R Block for tax filing — CPA upgrade is a priority discussion point.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK	CONSIDERATIONS
Week 1	HSA Maximization: Review current payroll HSA contribution; increase to reach \$4,400 individual limit for 2026. Discuss with benefits/HR. 2025 Cleanup: Verify whether 2025 Roth IRA (\$7,000) and HSA (\$4,300) were fully funded. If not, contributions can be made until April 15, 2026 — discuss with CPA. CPA Selection: Begin identifying a CPA experienced with real estate investors, cost segregation, and entity structuring. H&R Block may not support the complexity of planned strategies.
Week 2	LLC Formation: Texas LLC for RE activities — discuss structure with attorney. Texas has no state income tax and \$0 franchise tax if revenue is under \$2.47M. Consider single-member LLC vs. multi-member based on future plans. W-4 Review: With new deductions (HSA, potential business losses), W-4 may need adjustment to optimize monthly cash flow. Discuss appropriate withholding with CPA.
Week 3	Business Infrastructure: Separate business bank account, bookkeeping system (QuickBooks, Wave), and EIN application — foundational steps for any entity. STR Market Research: Austin market arbitrage feasibility study — target neighborhoods, lease terms, furnishing costs, occupancy rates, local STR regulations and licensing requirements. Augusta Rule Preparation: Document home rental fair-market-value comparables. Meeting logs, board minutes framework for future LLC rental events.
Week 4	Investment Scenario Review: Discuss BTC/STRC/ETF allocation models with a licensed financial advisor. Review risk tolerance and timeline alignment.

RE Acquisition Timeline: If pursuing property purchase, discuss mortgage pre-approval, cost segregation study providers, and STR insurance requirements.

Solo 401(k) Awareness: Once SE income flows from LLC, plan must be established by December 31, 2026 for employee deferrals. Discuss timing with CPA.

Life Insurance Education: Roderick expressed interest — consult with a fee-only insurance advisor to understand whole life / IUL concepts and timing considerations.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Roth IRA (Backdoor)	\$7,000	April 15, 2026	Verify fully funded; if not, contribute remainder before deadline
HSA (Individual)	\$4,300	April 15, 2026	If HDHP enrolled in 2025 and under-contributed, fund the gap
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Not applicable — no 2025 SE income
SEP IRA	25% up to \$69,000	Tax filing + extensions	Not applicable — no 2025 SE income

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

The strategies below are educational illustrations of how certain tax provisions work for someone with Roderick's income profile and goals. Eligibility must be verified with a qualified CPA before implementation. All figures use 2026 IRS limits per Rev. Proc. 2025-32.

Strategy Concept 1: HSA Maximization

Potential Value: \$1,408/year tax benefit

What It Is: A Health Savings Account allows pre-tax contributions that grow tax-free and can be withdrawn tax-free for qualified medical expenses. At a 32% marginal rate, maximizing the \$4,400 individual HSA for 2026 models a potential tax reduction of \$1,408. Funds invested inside the HSA also grow tax-free.

How It Works:

1. Confirm HDHP enrollment through employer benefits
2. Increase payroll deduction to reach \$4,400 by December 31, 2026
3. Invest HSA funds beyond emergency reserve (many HSA providers offer brokerage options)

Eligibility Criteria: Must be enrolled in a qualifying High Deductible Health Plan; cannot be enrolled in Medicare or claimed as a dependent.

Verify HDHP qualification and contribution limits with your benefits administrator. 2026 individual limit: \$4,400. No catch-up applies at age 37.

Strategy Concept 2: LLC Formation for Real Estate Business

Potential Value: Foundation enabling \$50,000+ in downstream tax strategies

What It Is: A Texas LLC creates the business entity needed to access deductions for home office, Augusta Rule, vehicle expenses, business startup costs, and eventually Solo 401(k) contributions. Texas charges no state income tax and \$0 franchise tax for revenue under \$2.47M.

How It Works:

1. File Certificate of Formation with TX Secretary of State (~\$300)
2. Obtain EIN from IRS (free, immediate online)
3. Establish business bank account and bookkeeping system

Eligibility Criteria: Any individual can form an LLC. Verify with an attorney that RE activities do not conflict with current W-2 employment restrictions.

Discuss entity structure (single-member vs. multi-member, S-Corp election timing) with your attorney and CPA. Entity must be active and conducting business for deductions to apply.

Strategy Concept 3: Short-Term Rental + Cost Segregation (100% Bonus Depreciation under OBBBA)

Potential Value: \$25,000–\$43,000 Year 1 tax benefit (aggressive scenario only)

What It Is: Acquiring a \$350K–\$400K property operated as a short-term rental (average stay <7 days) with a cost segregation study that accelerates depreciation. Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, 100% bonus depreciation has been permanently restored for qualified property acquired and placed in service after January 19, 2025. Under IRS rules, STR losses may offset W-2 income when material participation criteria are met, regardless of income level.

Cost Segregation Methodology:

1. Determine depreciable basis: $\$375\text{K property} \times 80\% = \text{\$300K building basis}$ (land ~20% is not depreciable)
2. Cost segregation study reclassifies ~25–40% of building basis to 5-year, 7-year, and 15-year property
3. Apply 100% bonus depreciation (OBBBA) to reclassified components: $\$300\text{K} \times 35\% = \text{\$105K bonus depreciation}$
4. Remaining building straight-line: $(\$300\text{K} - \$105\text{K}) / 27.5 = \$7,091 \text{ Year 1}$
5. Total Year 1 depreciation: ~\$112,091
6. Tax benefit at 32%: ~\$35,869

How It Works:

1. Acquire qualifying property (20% down = \$70K–\$80K); confirm Austin STR permit eligibility
2. Commission cost segregation study from qualified engineering firm (\$5K–\$8K)
3. Materially participate in STR operations (meet one of seven IRS material participation tests)
4. File Schedule E with accelerated depreciation; STR losses offset W-2 income if average guest stay <7 days and material participation is documented

Eligibility Criteria: Property must be operated as STR with average stay <7 days. Owner must materially participate (100+ hours and more than any other individual). Losses offset W-2 income without requiring Real Estate Professional status when STR average stay test is met.

This is one of the most powerful legal strategies for W-2 earners but requires careful documentation and CPA coordination. Verify Austin STR regulations, material participation requirements, and cost segregation

implementation with qualified professionals. 100% bonus depreciation applies to property acquired after Jan 19, 2025 under OBBBA. 2026 limits shown.

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Strategy Concept 4: Augusta Rule (IRC §280A)

Potential Value: \$2,240–\$3,136 tax benefit + \$7,000–\$9,800 tax-free income

What It Is: IRC §280A allows a homeowner to rent their personal residence for up to 14 days per year without reporting the rental income. If the LLC rents the home for legitimate business meetings/events, the LLC deducts the rental expense while the individual receives tax-free income. At 14 days × \$500–\$700/day, the LLC deducts \$7,000–\$9,800, creating a tax benefit of \$2,240–\$3,136 at the 32% rate.

How It Works:

1. Establish fair market rental rate with comparable analysis (VRBO, Airbnb comps)
2. Hold bona fide business meetings/events at the residence (board meetings, strategy sessions, investor events)
3. Document each rental day: meeting agenda, attendee list, minutes, rental agreement, payment from LLC account

Eligibility Criteria: Must own or rent the home (renter may need landlord approval). Must have a legitimate business entity. Rental must be for genuine business purposes. Maximum 14 days/year.

Documentation is critical. Discuss implementation, comp analysis, and record-keeping requirements with your CPA. 2026 limits shown.

Strategy Concept 5: Home Office Deduction

Potential Value: \$240–\$480 tax benefit

What It Is: The simplified home office deduction allows \$5/sq ft up to 300 sq ft (\$1,500 max) for a dedicated business workspace. This deduction is available for the LLC/self-employment activity — not for W-2 remote work. At a 32% rate, the \$1,500 deduction models \$480 in potential tax savings.

How It Works:

1. Designate a space used regularly and exclusively for LLC business
2. Measure the dedicated area; elect simplified method (\$5/sq ft) or actual expenses method
3. Deduct on Schedule C with self-employment return

Eligibility Criteria: Space must be used regularly and exclusively for business. The dedicated area described in intake may qualify — verify "exclusive use" requirement with CPA.

W-2 employees cannot deduct home offices (TCJA 2017, made permanent by OBBBA). This deduction applies only to the LLC/self-employment activity. Verify with CPA.

Strategy Concept 6: W-4 Optimization

Potential Value: \$3,600–\$6,000 in freed annual cash flow

What It Is: Adjusting W-4 withholding to account for new deductions (HSA, business losses, STR depreciation) can increase monthly take-home pay by \$300–\$500/month. This doesn't create new savings — it accelerates access to money that would otherwise come as a tax refund.

How It Works:

1. After implementing deduction strategies, review projected tax liability with CPA
2. Adjust W-4 Line 4(b) or 4(c) to reduce withholding to match actual liability
3. Submit updated W-4 to employer payroll

Eligibility Criteria: Any W-2 employee. Must ensure withholding still meets safe harbor (100% of prior year tax or 110% if AGI >\$150K) to avoid underpayment penalties.

Calculate optimal withholding with your CPA after all 2026 deduction strategies are confirmed. Avoid under-withholding penalties.

Strategy Concept 7: Solo 401(k) — Employer Contributions from LLC

Potential Value: \$1,600–\$5,760 tax benefit (depends on SE income)

What It Is: Once the LLC generates self-employment income, a Solo 401(k) allows tax-deferred employer contributions of 25% of net SE income. Since Roderick's W-2 already uses the full \$24,500 employee deferral for 2026, only the employer-side contribution is available through the LLC. At a 32% rate, employer contributions of \$5,000–\$18,000 (depending on SE income) model \$1,600–\$5,760 in tax savings.

How It Works:

1. Establish Solo 401(k) plan before December 31, 2026 (required for any 2026 contributions)
2. Generate net SE income through LLC activities (arbitrage, STR management, consulting)
3. Contribute 25% of net SE income as employer contribution (no employee deferral available — already used at W-2)

Eligibility Criteria: Must have self-employment income. No full-time employees (spouse exception). Plan must exist before December 31, 2026. Employer contributions can be made until tax filing deadline + extensions.

The total across all 401(k) plans (W-2 + Solo) cannot exceed \$72,000 for 2026 (no catch-up at age 37). Coordinate with CPA to avoid over-contribution. 2026 limits shown.

Strategy Concept 8: Non-Itemizer Charitable Deduction (New — OBBBA)

Potential Value: \$320 tax benefit

What It Is: Starting in 2026, the One Big Beautiful Bill Act allows non-itemizers to deduct cash charitable contributions up to \$1,000 for single filers (\$2,000 for married filing jointly). As a Texas single filer likely taking the standard deduction (\$16,100 for 2026), this provides a deduction that was previously unavailable. At a 32% rate, the \$1,000 deduction models \$320 in potential tax savings.

Eligibility Criteria: Must make cash contributions to qualifying charitable organizations. Must be a non-itemizer taking the standard deduction. Maximum \$1,000 for single filers for 2026.

This is a new provision under OBBBA. Verify current rules and qualifying organizations with your CPA.

Primary Strategy Education: STR Arbitrage → Ownership Pathway

This section provides educational context on the real estate strategy pathway most aligned with your stated goals. This is not a recommendation — discuss feasibility and implementation with qualified professionals.

Phase 1: Airbnb Arbitrage (Months 1–6)

Rental arbitrage involves leasing a property long-term and subletting it as a short-term rental on platforms like Airbnb/VRBO. This approach is commonly used because it requires lower upfront capital than purchasing and provides cash flow education.

METRIC	CONSERVATIVE MODEL	AGGRESSIVE MODEL
Lease cost (monthly)	\$1,800	\$2,200
Furnishing (one-time)	\$5,000	\$8,000
Projected gross STR revenue (monthly)	\$3,500	\$5,000
Operating expenses (cleaning, supplies, platform fees)	\$800	\$1,200
Modeled monthly net cash flow	\$900	\$1,600
Modeled annual net cash flow	\$10,800	\$19,200

Revenue projections are illustrative based on general Austin STR market data. Actual results depend on location, property quality, management, seasonality, and local regulations. Verify Austin's current STR licensing requirements — some areas have restrictions.

Phase 2: Property Acquisition + House Hacking (Months 6–12)

Purchasing a \$350K–\$400K property with house-hacking potential (live in one unit, STR the other units or spare rooms) combines principal residence benefits with STR income. This phase also unlocks the cost segregation strategy modeled in the tax strategies section.

METRIC	MODEL
Target property value	\$350,000–\$400,000
Down payment (20%)	\$70,000–\$80,000
Estimated mortgage payment (PITI)	\$2,200–\$2,600/month
Modeled STR gross revenue	\$3,500–\$5,500/month
Net Operating Income (annual)	\$25,000–\$35,000
Cost segregation Year 1 tax benefit	\$25,000–\$43,000 (100% bonus dep under OBBBA)
Property appreciation (3–6%)	\$10,500–\$24,000
Mortgage paydown (Year 1)	\$4,000–\$5,000

Phase 3: BRRRR Strategy (Year 2+)

Buy, Rehab, Rent, Refinance, Repeat — this strategy is commonly used to scale a real estate portfolio by recycling capital through value-add renovations and cash-out refinancing. This phase is modeled for Year 2+ once operational experience is established from Phases 1–2.

⚠️ Austin STR Regulatory Note: Austin has specific short-term rental regulations including Type 1 (owner-occupied), Type 2 (non-owner-occupied in residential), and Type 3 (commercial) licenses. Non-owner-occupied STR licenses in some residential zones have been restricted. Verify current licensing availability before committing capital. Discuss with a local real estate attorney.

Real estate tax strategies have specific documentation and participation requirements. Revenue projections are illustrative and not guaranteed. Work with a qualified tax professional, real estate attorney, and property manager to ensure compliance.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Capital Deployment: Conservative scenario uses \$17,500 (midpoint of \$10–25K comfortable deploying).

Aggressive scenario uses \$175,000 (midpoint of \$100–249K liquid capital).

Profile-Based Allocation Logic: Moderately aggressive approach (growth-focused, accepts volatility) → 55% Bitcoin. Passive income emphasis to replace W-2 → 30% STRC for yield. Balance in broad-market ETFs for diversification.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$17,500)	AGGRESSIVE (\$175,000)	EDUCATIONAL RATIONALE
Bitcoin	55%	\$9,625	\$96,250	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption
STRC	30%	\$5,250	\$52,500	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield
VTI / VOO	15%	\$2,625	\$26,250	VTI/VOO provide broad U.S. equity exposure at low cost (0.03% expense ratio); commonly used for portfolio diversification
Total	100%	\$17,500	\$175,000	

This scenario models one approach based on the moderately aggressive, passive-income-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

STRC Yield Note: Verify current STRC yield at time of investment. Historical yields shown (10–12%) are not guaranteed. All investments carry risk including potential loss of principal. Bitcoin and

cryptocurrency are highly volatile and speculative.

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Modeled First-Year Value Summary (2026 Tax Year)

All values are modeled estimates based on stated assumptions. Conservative scenario deploys \$17,500 in investments with no real estate acquisition. Aggressive scenario deploys \$175,000 in investments plus STR property acquisition (\$350–400K). Marginal tax rate: 32%.

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	HSA Maximization	\$1,408	\$1,408	\$4,400 × 32%
Tax	Augusta Rule (\$280A)	\$2,240	\$3,136	14d × \$500–700 × 32%
Tax	Home Office Deduction	\$240	\$480	\$750–1,500 × 32%
Tax	Vehicle (72.5¢/mile)	\$0	\$1,160	0 / 5,000 mi × \$0.725 × 32%
Tax	STR + Cost Segregation	\$0	\$36,000	\$375K × 80% basis × ~35% cost seg × 100% bonus dep (OBBBA) + straight-line × 32%
Tax	Business Startup (\$195)	\$1,600	\$1,600	\$5,000 deduction × 32%
Tax Optimization Subtotal		\$5,488	\$43,784	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield	\$525	\$6,300	\$5,250 × 10% / \$52,500 × 12%

Income	ETF Dividends (VTI/VOO)	\$39	\$525	$\$2,625 \times 1.5\% / \$26,250 \times 2\%$
Investment Income Subtotal		\$564	\$6,825	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (25% / 50%)	\$2,406	\$48,125	$\$9,625 \times 25\% / \$96,250 \times 50\%$
Growth	STRC (15% / 30%)	\$788	\$15,750	$\$5,250 \times 15\% / \$52,500 \times 30\%$
Growth	VTI/VOO (8% / 12%)	\$210	\$3,150	$\$2,625 \times 8\% / \$26,250 \times 12\%$
Appreciation Subtotal		\$3,404	\$67,025	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (4.5%)	\$0	\$16,875	$\$375K \times 4.5\%$
RE	Mortgage Principal Paydown	\$0	\$4,500	Year 1 equity build
Real Estate Subtotal		\$0	\$51,375	Conservative = no RE
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$3,600	\$6,000	$\$300\text{--}500/\text{mo} \times 12$
Cash Flow	Debt Interest Savings	\$0	\$1,200	Accelerated payoff of <\$5K debt
Cash Flow Subtotal		\$3,600	\$7,200	

CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	W-2 401(k) Contributions	\$24,500	\$24,500	2026 max; no catch-up at 37
Wealth	Backdoor Roth IRA	\$7,500	\$7,500	Single; 2026 limit
Wealth	HSA Contributions	\$4,400	\$4,400	Individual; 2026 limit
Wealth	Solo 401(k) Employer Portion	\$0	\$5,000	25% of est. SE income
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% on \$375K property
Wealth Building Subtotal		\$43,400	\$126,200	
TOTAL FIRST-YEAR VALUE (2026)		\$56,456	\$302,409	

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (100% bonus depreciation for property acquired after Jan 19, 2025). Cost segregation applied to building basis (property value minus ~20% land value) per IRS methodology. Verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Verify all deadlines with your tax professional. Dates shown are based on standard IRS calendar.

DATE	ITEM	DETAILS
April 15, 2026	2025 IRA/HSA Final Contributions	Last day to make 2025 Roth IRA (\$7,000) and HSA (\$4,300) contributions
April 15, 2026	2025 Tax Return Filing	File 2025 return or extension; coordinate with new CPA
Q1-Q2 2026	LLC Formation & Infrastructure	Entity formation, EIN, bank account, bookkeeping — enables downstream strategies
Q2-Q3 2026	STR Arbitrage Launch Window	If pursuing arbitrage, spring/summer is typically strong in Austin
Q3-Q4 2026	RE Acquisition Window	If purchasing property, allow time for cost seg study before year-end
Sept 15, 2026	Q3 Estimated Tax Payment	If LLC generates income, quarterly estimates may be needed
Dec 31, 2026	Solo 401(k) Establishment	Plan must exist by this date for 2026 employee deferrals (employer portion can extend)
Dec 31, 2026	401(k) Employee Contributions	Last day for 2026 W-2 401(k) employee deferrals (\$24,500)
Dec 31, 2026	Augusta Rule Completion	All 14 rental days must occur within calendar year 2026
April 15, 2027	2026 IRA/HSA Final Contributions	Last day for 2026 Roth IRA (\$7,500) and HSA (\$4,400)

Questions for Your Professional Team

Use these questions to guide productive conversations with the professionals who will help implement your strategies.

Questions for Your CPA

Tax Planning: "Based on my W-2 income of \$200–299K and planned LLC activities, what is my projected 2026 marginal tax rate, and how much could new deductions (HSA, home office, Augusta Rule, STR depreciation) reduce my liability?"

Cost Segregation: "If I acquire a \$350–400K STR property in 2026, what is the estimated Year 1 accelerated depreciation from a cost segregation study using 100% bonus depreciation under OBBBA, and how does it offset my W-2 income under the short-term rental exception? What percentage of building basis (after subtracting land) typically gets reclassified?"

Retirement: "I'm maxing my W-2 401(k) at \$24,500. If my LLC generates SE income, can I still make employer-side Solo 401(k) contributions? What's the combined limit across both plans for 2026?"

2025 Cleanup: "Did I fully fund my 2025 Roth IRA (\$7,000) and HSA (\$4,300)? If not, can I still contribute before April 15, 2026?"

Entity Structure: "Should my LLC elect S-Corp status for 2026, or wait until SE income exceeds the self-employment tax savings threshold (~\$50K+)?"

Questions for Your Attorney

Entity: "What LLC structure is optimal for STR activities in Texas — single-member, series LLC, or separate LLCs per property?"

Employment: "Are there any restrictions in my current W-2 employment agreement that limit my ability to operate a real estate LLC?"

Asset Protection: "What insurance and entity structure provides adequate liability protection for short-term rental operations?"

Questions for Your Financial Advisor

Investments: "Given my moderately aggressive risk tolerance and 3–5 year wealth-building timeline, how does a Bitcoin-centric portfolio with STRC for yield and VTI/VOO for diversification align with my goals?"

Insurance: "I'm interested in understanding whole life or IUL as a wealth-building tool. What are the pros, cons, and ideal timing to consider this given my current profile?"

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Professional Team Considerations

The strategies modeled in this snapshot involve tax, legal, investment, and real estate expertise. Below are the types of professionals commonly involved in implementation.

PROFESSIONAL	ROLE IN STRATEGY	PRIORITY
CPA (Tax Strategist)	Tax planning, entity elections, cost segregation coordination, estimated taxes, 401(k) compliance. Upgrade from H&R Block to a CPA experienced with RE investors.	🔴 Immediate
Real Estate Attorney	LLC formation, operating agreement, STR licensing, lease review (for arbitrage), asset protection structure	🔴 Immediate
Licensed Financial Advisor	Investment allocation review, risk assessment, retirement projections, life insurance evaluation	🟡 Month 1–2
Cost Segregation Engineer	Engineering-based study for accelerated depreciation on acquired property (100% bonus dep under OBBBA)	🟢 When property acquired
Insurance Agent	STR liability insurance, umbrella policy, life insurance education	🟡 Month 2–3
RE Agent / Property Manager	Market analysis, property sourcing, STR management support	🟢 When pursuing acquisition

Milestone Considerations (2026)

These milestones are modeled checkpoints for planning purposes — not requirements. Adjust timing based on professional guidance and personal circumstances.

QUARTER	MILESTONE	STRATEGY CONNECTION
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Q1 2026	CPA engaged; 2025 cleanup completed; HSA contribution increased; LLC filed	Foundation for all strategies
Q1 2026	W-4 reviewed and adjusted with CPA guidance	Strategy 6: Cash flow optimization
Q2 2026	First arbitrage unit launched (if pursuing); Augusta Rule events scheduled	Phase 1 RE + Strategy 4
Q2 2026	Investment scenario reviewed with licensed financial advisor	Portfolio implementation
Q3 2026	Property acquisition under contract (if pursuing aggressive scenario)	Strategy 3 + Phase 2 RE
Q3 2026	Cost segregation study commissioned (100% bonus dep under OBBBA)	Strategy 3: \$25K–\$43K tax benefit
Q4 2026	Solo 401(k) established (if SE income flowing); year-end tax projection with CPA	Strategy 7 + all tax strategies
Q4 2026	All Augusta Rule rental days completed and documented	Strategy 4: \$7K–\$9.8K income
Q1 2027	2026 tax return prepared with all strategy deductions; Year 2 plan review	Full strategy integration

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Educational Resources

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: 72.5¢/mile. SECURE 2.0: Employees earning \$150K+ FICA wages in prior year must make catch-up contributions as Roth (effective 2026). Standard deduction for 2026: \$16,100 (single) / \$32,200 (MFJ). Verify all limits at IRS.gov or with your tax professional.

Roderick's 2026 Profile: Age 37 — No Catch-Up Contributions Apply

ACCOUNT	2026 MAXIMUM	STATUS
W-2 401(k)	\$24,500	Currently maxing ✓
Backdoor Roth IRA	\$7,500	Contributing annually ✓
HSA (Individual)	\$4,400	Partially funded — increase to max
Solo 401(k) — Employer Only	Up to 25% of net SE income	Available once LLC generates income

Key IRS Publications (For Reference)

TOPIC	IRS RESOURCE
Home Office Deduction	Publication 587
Rental Income / STR	Publication 527
Self-Employment Tax	Publication 334 + Schedule SE
Retirement Plans (Solo 401k)	Publication 560
HSA Rules	Publication 969
Depreciation / Cost Segregation	Publication 946
Business Use of Car	Publication 463
Augusta Rule	IRC §280A(g)

For educational reference only. Tax law is complex and changes frequently. Always verify current rules with a qualified tax professional.

Wealth Strategy Snapshot | 2026 Tax Year Planning | Educational Analysis Only | Consult Licensed Professionals Before Implementation

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

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Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating One Big Beautiful Bill Act (OBBBA) provisions signed July 4, 2025 — including permanent 100% bonus depreciation for qualified property acquired after January 19, 2025. Verify current rules with your tax professional.

Cost Segregation Methodology: Cost segregation tax benefits in this document are calculated using building basis (property value minus estimated land value of ~20%), not full property value. Actual reclassification percentages and resulting depreciation depend on the specific engineering-based study performed on the acquired property. Results shown are illustrative only.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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